BAP No. NH 23-025

UNITED STATES BANKRUPTCY APPELLATE PANEL
FOR THE FIRST CIRCUIT

CHRISTINE MARIE ANSIN
Appellant,

v.

ROBERT ANSIN
Appellee.

On appeal from the United States Bankruptcy Court for the District of New Hampshire
Bankruptcy Case No. 23-10366-BAH

REPLY BRIEF FOR APPELLANT

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TABLE OF CONTENTS

Argument

I. Reply to Appellee's Challenges to the Statement of the Case

A. Exclusion of Documents in Appellant's Appendix

B. Exclusion of Statements

II. Reply to the Appellee's Argument

A. The Debtor Was Present and Willing to Testify

B. The Appellant Was Not Required to File Post-Hearing Motions

C. The Appellant Offered Evidence of Chapter 13 Qualification

D. The Failure to Make Findings Was Not Harmless Error

Conclusion

TABLE OF AUTHORITIES

Cases

DeJounghe v. Mender, 334 B.R. 760 (B.A.P. 1st Cir. 2005)

In re Borriello, 2009 BNH 039

In re Byrne, Bankruptcy Case 22-10117-MAF, BAP EB 23-004 (B.A.P. 1st Cir. Oct. 6, 2023)

In re Visconti, 448 B.R. 617 (Bankr. D.N.H. 2011)

Marrama v. Citizens Bank of Massachusetts (In re Marrama), 313 B.R. 525 (B.A.P. 1st Cir. 2004), aff'd, 430 F.3d 374 (1st Cir. 2005), aff'd, 549 U.S. 365 (2007)

Prebor v. Collin (In re I Don't Trust), 143 F.3d 1 (1st Cir. 1998)

Sullivan v. Solimini (In re Sullivan), 326 B.R. 204 (B.A.P. 1st Cir. 2005)

Statutes

11 U.S.C. § 102(1)(A)

11 U.S.C. § 109(e)

11 U.S.C. § 1307(c)

11 U.S.C. § 523(a)(4)

11 U.S.C. § 706(a)

Rules

Fed. R. Bankr. P. 7052

Fed. R. Bankr. P. 8009(a)(4)

Fed. R. Bankr. P. 8015(a)(5), (6), (7)(A), (B)

ARGUMENT

I. Reply to Appellee's Challenges to the Statement of the Case

A. Exclusion of Documents in Appellant's Appendix

Appellee alleges that certain documents included in the Appellant's Appendix are not in the record and should be disregarded or stricken. Specifically, Appellee challenges the inclusion in the record, and consideration of, the following documents:

1. Decree of Divorce (Appellant App'x. p. 9);
2. Final Decree on Petition for Divorce (Appellant App'x p. 10);
3. Final Order on Petition for Divorce (Appellant App'x p. 14).

Appellant states that the documents are in the record. In fact, those three documents were filed by Appellee as Exhibit C in his Adversary Complaint, Robert Ansin v. Christine Marie Ansin (Adv. Pro. 23-01011-BAH), which is part of the docket, and is appropriately included in accordance with Fed. R. Bankr. P. 8009(a)(4).

The Appellee provides no reason for the exclusion of these documents, other than that they are not in the record. "The record should contain the documentation necessary to afford the reviewing court a complete understanding of the case." In re Byrne (quotes omitted). Under that standard, it is appropriate for the Panel to include these documents in the record.

B. Exclusion of Statements

The Appellee challenges the inclusion of statements included in Appellant's Statement of the Case. Specifically, Appellee requests that statements about the Debtor's housing, mental state, and property be stricken. Each challenged statement contains a reference to the transcript, and each was made by counsel at the hearing on October 4, 2023 as an offer of proof, with the Debtor present. While

Appellant's counsel understands that Appellee disagrees with these offers of proof, they should not be stricken from the record.

II. Reply to the Appellee's Argument

A. The Debtor Was Present and Willing to Testify

Regardless of whether the Debtor requested an evidentiary hearing, the Debtor was in the courtroom at hearing and willing to testify, but the Judge failed to make the appropriate inquiries to determine her eligibility for Chapter 13, whether by examining her directly, or taking evidence through offers of proof.

Appellant agrees that a bankruptcy litigant is entitled to notice and a hearing, under 11 U.S.C. § 102(1)(A). But, based on DeJounghe v. Mender, Appellee argues that, if the Debtor wanted an evidentiary hearing, the Debtor had the affirmative duty to request one. Appellee also notes that a full evidentiary hearing is not always required, so long as the parties had a fair opportunity to offer relevant facts and arguments to the court and to confront their adversaries' submissions. Prebor v. Collin.

The Appellee did not address the full statement in DeJounghe. That decision also states that all that is required is "a fair opportunity to offer relevant facts and arguments to the court and to confront their adversaries' submissions." The Court's own procedures did not give the Debtor that opportunity.

B. The Appellant Was Not Required to File Post-Hearing Motions

Appellee provides no authority for the proposition that Appellant was required to file post-hearing motions or requests for findings in order to challenge the findings in the lower Court's Order; this argument is without legal basis and is superfluous.

C. The Appellant Offered Evidence of Chapter 13 Qualification

Contrary to Appellee's assertion, Appellant addressed at hearing evidence of her eligibility to be a Chapter 13 Debtor. Appellant acknowledges that in order to

convert from Chapter 7 to Chapter 13, a Debtor must be eligible for Chapter 13: the Debtor must meet the requirements of 11 U.S.C. §§ 109(e) and 1307(c). The former includes the Chapter 13 debt limits and regular income, and the latter includes good faith.

Although the Appellee claims she did not, Debtor did, in fact, attempt to address the issue of regular income at hearing. Through counsel, the Debtor offered proof of her efforts to establish herself financially, having passed the national, New Hampshire, Massachusetts and Rhode Island real estate licensing examinations. However, the Court changed focus and asked counsel about the "(a)(4)" count of the Adversary Complaint. Even though the Court did refocus on the issue of regular income, it again switched the discussion to that of "litigation tactic." Perhaps the Court did not adequately explore the facts concerning the Debtor's regular income in order to make a conclusion on that issue, but the Debtor did offer the information by offers of proof.

Although the Court was required to make a finding whether the Debtor had regular income, it was also required to conduct a fact-intensive inquiry as to the Debtor's good faith, which it failed to do. Marrama v. Citizens Bank of Massachusetts.

D. The Failure to Make Findings Was Not Harmless Error

Although Rule 7052 applies to Adversary Proceedings, and not specifically to a Motion to Convert, the Court's failure to make findings pursuant to Marrama on the Debtor's eligibility as a Debtor under 11 U.S.C. § 706(a) was not harmless error.

Appellee cites to Fed. R. Bankr. P. 7052, and the Bankruptcy Court's non-compliance with that Rule, characterizing it as harmless error. As far as Appellant's counsel is aware, Rule 7052, which requires the Court to make separate Findings of Fact and Rulings of Law, technically applies only to Adversary Proceedings and certain Motions therein. However, Appellant's counsel

argues that, even if the Court was required to make specific findings on the issues of Debtor's eligibility as a Chapter 13 Debtor under § 706(a), its failure to do so was not harmless error. The Court was required to make a fact-intensive inquiry, and findings, as to whether the Debtor's debts were within the Chapter 13 income limits, whether the Debtor had regular income, and whether the Debtor's request for conversion was made in good faith.

Even the Court itself acknowledged that it had "insufficient evidence to grant the Motion" to Convert, and that was the specific reason for denying it.

CONCLUSION

The fundamental flaw in the Appellee's position is that he doesn't address the totality of the circumstances that the Court is required to consider when evaluating a Motion to Convert from Chapter 7 to Chapter 13, which is required by Marrama, and is enumerated in Sullivan. Appellee seeks to distract from this issue by raising various procedural issues, which he alleges constitute harmless error. The Court failed to address the Sullivan factors, and (as argued in her Brief), improperly shifted the burden of proof to the Debtor on the issue of bad faith.

Respectfully submitted,
March 7, 2024

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STATEMENT REGARDING RELATED CASES

1st Cir. BAP L.R. 8014-1(a)(2)

☐ The undersigned certifies that the following are known related cases and appeals:

☒ The undersigned certifies that the undersigned knows of no related cases or appeals as that term is defined in 1st Cir. BAP L.R. 8014-1(a)(2)(A).

CERTIFICATE OF COMPLIANCE

This brief complies with the type-volume limitation of Fed. R. Bankr. P. 8015(a)(7)(B) because it contains 1045 words, excluding the parts of the brief exempted under Fed. R. Bankr. P. 8015(g).

This brief complies with the typeface and type-style requirements of Fed. R. Bankr. P. 8015(a)(5) and (6) because it has been prepared in a proportionally spaced typeface, Liberation Serif 14-point, using the vendored font.

s/ DARLENE M. DANIELE
Atty. Darlene M. Daniele
Dated: March 7, 2024